Canada Bread Company, Limited
Management's Discussion and Analysis

For the first quarter ended March 31, 2011

As at April 27, 2011

Transition to International Financial Reporting Standards ("IFRS")

Canada Bread Company, Limited (the "Company") is reporting its results for the first time in accordance with International Financial Reporting Standards ("IFRS") in the first quarter of 2011. A reconciliation of reported earnings to earnings that would have been reported under Canadian generally accepted accounting principles ("GAAP") is included on page 7 of this Management's Discussion and Analysis.

Financial Overview

Sales for the first quarter decreased by 2.7% to $371.8 million compared to $381.9 million in the prior year, largely due to the sale of the Company's fresh sandwich product line in February of 2011. Excluding this sale and the currency translation on U.K. and U.S. sales from a stronger Canadian dollar, sales were consistent with the prior year.

Adjusted Operating Earnings for the first quarter decreased 19.0% to $16.7 million from $20.6 million in the prior year. Earnings from the fresh bakery operations declined due to higher input costs as price increases only came into effect at the end of the quarter. Lower volumes in the North American frozen bakery business also impacted results. In the U.K. bakery, the margin improvement from the successful marketing campaign and product innovation in the bagel category was largely offset by the advertising and promotion expenses associated with the re-launch. Adjusted EPS of $0.56, including $2.4 million ($0.10 per share) of tax benefits recorded in the quarter associated with a prior acquisition, was unchanged compared to the prior year. Net earnings in the quarter decreased to a loss of $1.0 million ($0.04 per share) from net earnings of $13.0 million ($0.51 per share) in the first quarter of 2010. Net earnings in the quarter include $20.1 million of pre-tax costs related to restructuring activities.

On February 18, 2011 the Company completed the sale of its fresh sandwich product line for $8.0 million, subject to post closing adjustments.

Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Please refer to the section entitled "Non-IFRS Financial Measures" starting on page 7 of this Management's Discussion and Analysis for description and reconciliation of all non-IFRS measures.

Operating Review

The following table summarizes sales by business segment:

(Unaudited) ($ thousands)	First Quarter 2011	2010
Fresh Bakery	**$ 255,085**	$ 257,189
Frozen Bakery	**116,675**	124,743
Total Sales	**$ 371,760**	$ 381,932

The following table summarizes Adjusted Operating Earnings by business segment:

(Unaudited) ($ thousands)	First Quarter 2011	2010
Fresh Bakery	**$ 17,985**	$ 20,929
Frozen Bakery	**(1,261)**	(281)
Adjusted Operating Earnings	**$ 16,724**	$ 20,648

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

First quarter sales of $255.1 million were slightly lower than sales of $257.2 million in the same period last year. Excluding the impact of the sale of the Company's fresh sandwich product line, sales increased 1.7% compared to the prior year. The increase in sales is due to the benefit of price increases taken in the later part of 2010. Fresh bakery volumes improved by 0.8% for the quarter.

Adjusted Operating Earnings in the quarter decreased by 14.1% to $18.0 million compared to $20.9 million last year. During the quarter, the fresh bakery operation was significantly exposed to higher wheat prices, with a lag in pricing to offset these inflationary pressures. Price increases were implemented at the end of the quarter and have begun to positively affect margins going forward. These were in part offset by the benefit derived from the sale of the Company's fresh sandwich product line during the quarter.

A significant element of the Company's value creation plan is the construction of the new fresh bakery in Hamilton, Ontario to benefit from scale efficiencies, reduce overhead costs and support future growth. This new bakery is on schedule to begin initial production in July 2011.

During the quarter, the Company announced plans to close its fresh bakery facility in Delta, British Columbia, in November 2011. Production will be consolidated at the Company's other bakeries in Langley, B.C. and Edmonton, Alberta. Concurrently, an investment of approximately $11.0 million will be made to expand the Edmonton bakery to support increased tortilla production, where the Company has a leading market position and brand.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the quarter decreased by 6.5% to $116.7 million from $124.7 million last year. Excluding the currency translation differences on sales in the U.S. and U.K., sales declined by 3.6%, predominantly as a result of lower volumes, which was partially offset by the positive impact of price increases implemented across its operations. The North American frozen bakery business continued to experience weaker volumes due to changes implemented by certain retail customers earlier in 2010. Progress has been made in securing new business, which is expected to strengthen volumes in 2011. In the U.K., bagel volume increased significantly with the re-launch of the New York Bakery brand bagels, although overall volumes for the U.K. bakery were lower than last year.

Adjusted Operating Earnings in the quarter were a loss of $1.3 million compared to a loss of $0.3 million last year, driven by lower volumes and the rapid rise in wheat prices. In the first quarter of 2011, the Company re-launched its New York Bakery brand to support market growth in the bagel category, which led to significant increases in volumes and improved margins in the U.K. bakery business. These benefits were largely offset by significant advertising and promotion expenses associated with the re-launch.

In March 2011, the Company closed a sub-scale bakery in Laval, Quebec and transferred production to other bakeries where there was available capacity. Also in the first quarter of 2011, the Company entered into an agreement to sell a bakery facility in Cumbria, U.K.

Gross Margin

Gross margin decreased to $72.3 million, or 19.5% of sales, in the quarter, compared to $75.1 million, or 19.7% of sales last year. In the bakery operations, margins compressed as the rapid rise in commodity prices was not fully offset through price increases that were implemented towards the end of the quarter. Lower volumes in the North American frozen bakery business also reduced margins.

Selling, General and Administrative Expenses

Selling, general and administrative expenses in the quarter of $55.6 million increased slightly from $54.5 million last year.

The increase in expenses was driven by increased marketing and promotional activities to support the re-launch of its New York Bakery brand and market growth in the bagel category in the U.K. and higher pension expenses in the period. These increases were partly offset by ongoing cost containment initiatives throughout the Company.

Interest Expense

Interest expense for the first quarter decreased to $0.3 million compared to $1.0 million last year, primarily due to amortization of terminated interest rate swaps in the prior period.

Income Taxes

The Company's income tax expense is comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 13.9% (2010: 27.9%) and taxes recoverable on restructuring and other related costs at a rate of 24.5% (2010: 25.5%). The lower tax rate on operating earnings is due to income tax of $2.4 million associated with tax benefits arising from a prior acquisition in its fresh bakery business.

Restructuring and Other Related Costs

During the first quarter of 2011, the Company recorded restructuring and other related costs of $20.1 million ($15.1 million after tax). Of this amount, $11.2 million related to asset write-downs and $2.9 million related to severances, in connection with the sale of, or planned or completed plant closures in Laval, Quebec, Delta, British Columbia and, Cumbria, U.K., as well as the sale of the sandwich product line. The Company also recorded $5.8 million in severance costs for initiatives across the Company related to changes in management structure and related head count reductions. The balance of charges relate to ongoing costs incurred in connection with previously announced restructuring initiatives.

During the first quarter of 2010, the Company recorded restructuring and other related costs of $1.7 million ($1.3 million after tax). These costs related primarily to pension costs and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries.

	Severance	Site closing	Asset impairment and accelerated depreciation	Pension	Total
Balance at January 1, 2011	$ 11,228	$ 1,456	$ —	$ 384	**$ 13,068**
Charges	8,701	49	11,138	162	**20,050**
Cash payments	(1,652)	(12)	—	—	**(1,664)**
Reversals	—	—	—	—	**—**
Non-cash items	—	—	(11,138)	—	**(11,138)**
Balance at March 31, 2011	**$ 18,277**	**$ 1,493**	**$ —**	**$ 546**	**$ 20,316**

Acquisitions and Divestitures

On February 18, 2011, the Company completed the sale of substantially all the remaining assets that comprise its sandwich product line to Premium Brands Inc., a manufacturer and distributor of food products with headquarters in British Columbia, for $8.0 million. The transaction resulted in total restructuring costs of $2.9 million, of which $0.6 million were cash costs, and a gain on sale of $0.9 million. As part of the conversion to IFRS, on January 1, 2010 the Company recognized a goodwill impairment adjustment of $30.2 million.

Also in the first quarter of 2011, the Company entered into an agreement to sell a bakery facility in Cumbria, U.K.

Capital Resources

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next twelve months.

The Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $275.3 million (2010: $270.5 million), and available cash of $51.8 million (2010: $68.5 million). There were $9.8 million in letters of credit outstanding as at March 31, 2011 (2010: $8.8 million).

The Company's principal facility is a $250.0 million revolving term facility with Maple Leaf Foods Inc., which matures on December 27, 2011. The Company will begin negotiations to renew the facility during 2011. This unsecured facility is subject to certain financial covenants. As at March 31, 2011, the Company was in compliance with all of its financial covenants.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility.

During 2010, the Company entered into a three-year, committed accounts receivable securitization facility. This program replaced the existing accounts receivable financing facility. Under the new facility, the Company sells certain accounts receivable, with limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AAA. The receivables are sold at a discount to face value based on prevailing money market rates. At quarter end, the Company had $96.3 million (2010: $63.0 million under the former facility) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $43.5 million and a note receivable in the amount of $52.8 million.

The program is subject to certain restrictions and requires the maintenance of certain debt ratios. The Company is in compliance with all of the requirements of the program during the first quarter of 2011. This facility is accounted for as an off-balance sheet transaction under Canadian GAAP and continues to be accounted for in the same manner under IFRS effective January 1, 2011.

Cash Flow and Financing

Cash balances, net of debt, were $47.9 million at the end of the first quarter, compared to $72.7 million as at December 31, 2010 and $60.0 million at end of the first quarter of 2010. The decrease in the cash for the quarter is due to higher investment in property and equipment.

Cash Flow From Operating Activities

Cash flow from operating activities for the quarter was $0.9 million for the first quarter compared to $17.4 million in the first quarter of 2010. The decrease is largely attributable to a decrease in earnings and a greater investment in working capital compared to the same period last year as a result of higher wheat costs.

Cash Flow From Financing Activities

Cash flow from financing activities was an outflow of $1.5 million for the first quarter compared to an outflow of $1.8 million in the prior year period, due primarily to payment of a quarterly dividend in both periods.

Cash Flow From Investing Activities

Cash flow from investing activities was an outflow of $24.1 million for the first quarter compared to an outflow of $6.8 million in the prior year period, as a result of increased capital expenditures, partially offset by proceeds from the sale of property and equipment.

Capital expenditures for the first quarter were $29.6 million compared to $7.6 million in the prior year period. Capital expenditures in the Fresh Bakery segment increased by $22.1 million to $26.2 million primarily due to an investment in the new bakery facility in Hamilton, Ontario. Expenditures in the Frozen Bakery segment were $3.4 million, slightly lower than in the prior year period.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at March 31, 2011 approximately $4.1 million (2010: $2.6 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. As at March 31, 2011, the Company has recorded an allowance for doubtful accounts of $2.4 million (2010: $1.8 million). Average accounts receivable days sales outstanding for the quarter is consistent with historic trends. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year
Sales [(i)]	**2011**	**$ 371,760**				
	2010	381,932	$ 402,062	$ 411,364	$ 393,079	$ 1,588,437
	2009	413,125	435,918	424,555	432,190	1,705,788
Net earnings (loss) [(i)]	**2011**	**$ (966)**				
	2010	12,969	$ 20,696	$ 13,980	$ 13,582	$ 60,975
	2009	14,882	22,537	25,050	15,009	77,478
Earnings (loss) per share						
Basic and diluted [(i)]	**2011**	**$ (0.04)**				
	2010	0.51	$ 0.81	$ 0.55	$ 0.54	$ 2.40
	2009	0.59	0.89	0.99	0.59	3.05
Adjusted EPS [(i)(ii)(iii)]	**2011**	**$ 0.56**				
	2010	0.56	$ 0.84	$ 0.85	$ 0.61	$ 2.85
	2009	0.60	0.89	1.00	0.70	3.20

(i) *The first quarter of 2011 and 2010 figures are in accordance with IFRS and the net earnings, earnings per share and adjusted earnings per share are based on amounts attributable to common shareholders. The remaining figures are in accordance with Canadian GAAP.*

(ii) *May not add due to rounding.*

(iii) *Refer to Non-IFRS Financial Measures on page 7.*

Quarterly sales and net earnings in 2011 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound, which reduced the sales value of frozen bakery products sales in the U.S. and U.K.
- the exit of the line of fresh sandwich products in February of 2011
- lower volumes mostly of frozen bakery products in the U.S. and U.K.
- the rapid rise in commodity prices which affected overall margins as price increases did not fully keep pace with these pressures during the quarter
- increased advertising and promotion spending as a result of the re-launch of the New York Bakery brand in the U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lower ingredient costs
- pre-tax charges of $20.1 million ($15.1 million after tax) due to restructuring and other related costs. The majority of these costs related to the asset write-downs and severances related to planned or completed plant closures in Laval, Quebec, Delta, British Columbia, Cumbria, U.K. and the sale of the fresh sandwich product line
- an income tax reduction of $2.4 million associated with tax benefits arising from a prior acquisition in its fresh bakery business. This resulted in a lower tax rate on operating earnings.

Quarterly sales and net earnings in 2010 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sales in the U.S. and U.K.
- lower volumes mostly of frozen bakery products in the U.S. and U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lower ingredient costs
- increased spending to maintain market share in a competitive Canadian retail environment

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Other Matters

On April 27, 2011 Canada Bread Company, Limited declared a dividend of $0.20 per share payable on July 4, 2011 to shareholders of record at the close of business on June 10, 2011. Unless indicated otherwise by the Company in writing at or before the time the dividend is paid, these dividends will not be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Disclosure Controls and Internal Controls Over Financial Reporting

There have been no changes in the Company's internal control over financial reporting during the period beginning on January 1, 2011 and ended on March 31, 2011 that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

International Financial Reporting Standards

The Company's audited consolidated financial statements for the year ending December 31, 2011 will be the first audited annual consolidated financial statements that comply with IFRS. Accordingly, the Company will make an unreserved statement of compliance with IFRS beginning with its 2011 annual consolidated financial statements. This quarter represents the first time that the Company has reported its earnings under IFRS.

The accounting policies set out in Note 3 of the Unaudited Condensed Consolidated Interim Financial Statements have been applied in preparing the financial results for the quarter ended March 31, 2011. The comparative information presented in these consolidated financial statements for the quarter ended March 31, 2010, and the consolidated balance sheets at December 31, 2010 and January 1, 2010 ("transition date") have all been revised to reflect earnings and financial position presented in accordance with IFRS.

First-time adopters of IFRS must apply the provisions of IFRS 1. IFRS 1 requires adopters to retrospectively apply all effective IFRS standards as of the annual reporting date (December 31, 2011) with certain optional exemptions and certain mandatory exceptions. Outlined below are the IFRS 1 optional exemptions and mandatory exceptions applied in the conversion from previous Canadian GAAP to IFRS. To the extent possible, management has attempted to ensure that elections made provide shareholders with consistently prepared financial statements, however certain elections have been made on a prospective basis that have resulted in some inconsistencies between the Company's financial statements and the corresponding comparative amounts. These elections are more fully outlined below.

IFRS 1 Optional Exemptions

Business Combinations

IFRS 1 provides an exemption that allows an entity to elect not to retrospectively restate business combinations prior to the transition date in accordance with IFRS 3, *Business Combinations*. The retrospective basis would require restatement of all business combinations that occurred prior to the transition date. The Company elected not to retrospectively apply IFRS 3 to business combinations that occurred prior to the transition date and such business combinations have not been restated. Any goodwill arising on such business combinations prior to the transition date has not been adjusted from the carrying value previously determined under Canadian GAAP.

Fair Value as Deemed Cost

IFRS 1 allows an entity to elect to measure property and equipment at fair value in the opening IFRS statement of financial position. Fair value would then become the deemed cost of the item. Alternatively, an entity can retrospectively apply the historical cost model in IAS 16, *Property, Plant and Equipment*, to arrive at the carrying value of property and equipment at the transition date. The Company elected to retrospectively apply the historical cost model for property and equipment on the transition date, resulting in no IFRS impact to shareholders' equity.

Employee Benefits

IFRS 1 provides the option to retrospectively apply the corridor approach under IAS 19, *Employee Benefits*, for the recognition of actuarial gains and losses, or recognize all cumulative gains and losses deferred under previous Canadian GAAP in opening retained earnings at the transition date. The Company elected to recognize all cumulative actuarial gains and losses that existed on the transition date in opening retained earnings for all of its employee benefit plans.

Cumulative Currency Translation Differences

Retrospective application of IFRS would require the Company to determine cumulative currency translation differences in accordance with IAS 21, *The Effects of Changes in Foreign Exchange Rates*, from the date a foreign subsidiary or associate was formed or acquired. IFRS 1 allows an entity to elect not to calculate the translation differences retrospectively and to reset cumulative translation gains and losses to zero at the transition date. The Company elected to reset all cumulative translation gains and losses that existed in the cumulative transition adjustment ("CTA") to zero in opening retained earnings at the transition date. The CTA balance as of January 1, 2010 of $48.8 million was recorded as an adjustment to retained earnings, with an offset to accumulated other comprehensive income resulting in no impact on total shareholders' equity.

Decommissioning Liabilities Included in the Cost of Property, Plant and Equipment

IFRS 1 allows an entity to elect not to retrospectively apply the requirements of IFRIC 1, *Changes in Existing Decommissioning, Restoration and Similar Liabilities* ("IFRIC 1"). The Company elected not to retrospectively recognize changes to these liabilities under IFRIC 1 that may have occurred prior to the transition date.

Borrowing Costs

IAS 23, *Borrowing Costs* ("IAS 23"), requires an entity to capitalize borrowing costs relating to qualifying assets. Under IFRS 1, an entity may elect to apply the transitional provisions of IAS 23, which allow an entity to choose the date to apply the capitalization of borrowing costs relating to all qualifying assets as either the transition date or an earlier date. The Company elected to apply the transitional provisions of IAS 23 and chose the transition date as the date to commence the capitalization of borrowing costs to all qualifying assets.

IFRS 1 Mandatory Exceptions

Hedge Accounting

Hedge accounting may only be applied prospectively from the transition date to transactions that meet the hedge accounting criteria in IAS 39, *Financial Instruments – Recognition and Measurement*, at that date. Hedging relationships cannot be designated retrospectively and the supporting documentation cannot be created retrospectively. The Company designated all hedges appropriately under IFRS as of the transition date.

Estimates

Estimates previously determined under Canadian GAAP cannot be revised due to the application of IFRS except where necessary to reflect differences in accounting policies.

Reconciliations of Canadian GAAP to IFRS

In preparing its opening IFRS consolidated financial statements, the Company has adjusted amounts reported previously in financial statements prepared in accordance with Canadian GAAP. A summary of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance is set out below. For further detail on the transitional adjustments from Canadian GAAP to IFRS see Note 13 of the Unaudited Condensed Interim Financial Statements for the three months ended March 31, 2011.

Reconciliation of Shareholders' Equity as Reported Under Canadian GAAP to IFRS

(Unaudited) ($ thousands)	January 1, 2010	March 31, 2010	December 31, 2010
Shareholders' equity under Canadian GAAP	$ 747,087	$ 737,281	$ 785,846
Differences increasing (decreasing) reported shareholders' equity:			
Property and equipment	(5,454)	(5,475)	(5,577)
Impairment of goodwill	(119,078)	(110,910)	(111,618)
Employee benefits	(32,403)	(32,058)	(39,836)
Capitalization of borrowing costs	—	3	417
Deferred income taxes	9,522	9,437	9,137
Cumulative translation differences	—	—	—
Shareholders' equity under IFRS	$ 599,674	$ 598,278	$ 638,369

Reconciliation of Net Earnings as Reported Under Canadian GAAP to IFRS

(Unaudited) ($ thousands)	Three months ended March 31, 2010	Year ended December 31, 2010
Net earnings under Canadian GAAP	$ 12,727	$ 60,975
Differences increasing (decreasing) reported amount:		
Depreciation of asset components	(21)	(317)
Capitalization of borrowing costs	3	417
Employee benefits	345	1,382
Income taxes	(85)	(385)
Net earnings under IFRS	$ 12,969	$ 62,072

Reconciliation of Comprehensive Income (Loss) as Reported Under Canadian GAAP to IFRS

(Unaudited) ($ thousands)	Three months ended March 31, 2010	Year ended December 31, 2010
Comprehensive income (loss) under Canadian GAAP	$ (8,281)	$ 44,859
Differences increasing (decreasing) reported amount:		
Differences in net earnings	242	1,097
Changes in actuarial gains and losses	—	(8,815)
Impairment of goodwill	8,168	7,654
Comprehensive income (loss) under IFRS	$ 129	$ 44,795

Non-IFRS Financial Measures

The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the Unaudited Consolidated Interim Statements of Earnings for the three-month periods ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results.

(Unaudited)	Three months ended March 31, 2011		
($ thousands) [i]	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$ (966)**
Income taxes			**(2,621)**
Earnings from operations before income taxes			**(3,587)**
Interest expense			**339**
	$ 8,468	**$ (11,716)**	**$ (3,248)**
Other income	(78)	—	**(78)**
Restructuring and other related costs	9,595	10,455	**20,050**
Adjusted Operating Earnings [i]	**$ 17,985**	**$ (1,261)**	**$ 16,724**

(Unaudited)	Three months ended March 31, 2010		
($ thousands) [i]	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$ 12,969**
Income taxes			**5,066**
Earnings from operations before income taxes			**18,035**
Interest expense			**981**
	$ 19,988	**$ (972)**	**$ 19,016**
Other income	(72)	—	**(72)**
Restructuring and other related costs	1,013	691	**1,704**
Adjusted Operating Earnings [i]	**$ 20,929**	**$ (281)**	**$ 20,648**

(i) *May not add due to rounding.*

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS in the Unaudited Consolidated Interim Statements of Earnings for the three-month periods ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

(Unaudited)	Three months ended March 31,	
($ per share)	2011	2010
Basic earnings (loss) per share	**$ (0.04)**	$ 0.51
Restructuring and other related costs [i]	**0.60**	0.05
Adjusted Earnings per Share [ii]	**$ 0.56**	$ 0.56

(i) *Includes per share impact of restructuring and other related costs, net of tax.*
(ii) *May not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis to IFRS amounts in the Unaudited Consolidated Interim Balance Sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

(Unaudited) ($ thousands)	As at March 31, 2011	2010
Bank indebtedness	**$ —**	$ 6,167
Current portion of long-term debt	**2,329**	—
Long-term debt	**1,652**	2,311
Subtotal	**$ 3,981**	$ 8,478
Cash and cash equivalents	**(51,847)**	(68,471)
Net debt (cash)	**$ (47,866)**	$ (59,993)

Earnings Before Interest, Tax, Depreciation and Amortization ("EBITDA")

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible asset amortization. The Company measures its credit quality using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends in 2011, the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with implementing and executing the Company's business transformation strategy;
- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;

- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2010 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.